January 2010 Paper 02

Section I (Compulsory)

Question 1

1(a)(i) Definition of barter

Define the term 'barter'. (2 marks)

Barter is a method of trade in which goods and services are exchanged directly for other goods and services without the use of money. For example, a fisherman may swap a basket of fish with a farmer in return for a bag of yams.

1(a)(ii) Problems with barter

State TWO problems associated with barter. (4 marks)

Lack of double coincidence of wants
For barter to take place, each person must have what the other person wants and must want what the other person has, at the same time. This is very hard to find, so traders may waste a lot of time searching for a suitable partner before any trade can happen.

Difficulty in fixing a fair rate of exchange
There is no common measure of value under barter, so it is hard to decide how many of one item are worth a single unit of another. For example, the two parties may argue for a long time over how many yams should be given for one goat, which makes trading slow and unfair.

1(a)(iii) How money overcomes the problems of barter

Explain TWO ways in which the use of money can overcome the problems associated with barter. (4 marks)

Money acts as a medium of exchange
Because money is accepted by everyone in the country, a seller can sell goods for money and then use that money to buy whatever else he or she needs. This removes the need for a double coincidence of wants and makes trade much faster and easier.

Money acts as a measure of value
Money allows the price of every good and service to be stated in the same units, such as dollars and cents. This means that buyers and sellers can quickly compare prices and agree on a fair rate of exchange without long arguments.

1(b) Comparing private and public sector

Compare the private sector with the public sector in terms of the following: (i) Ownership and control; (ii) Objective or motive; (iii) Source of capital. (6 marks)

Ownership and control

The private sector is owned and controlled by private individuals or groups of individuals through sole traders, partnerships and companies. The public sector, on the other hand, is owned and controlled by the government on behalf of the citizens of the country, through ministries and state-owned enterprises.

Objective or motive

The main objective of private sector businesses is to earn a profit for the owners by selling goods and services. The main objective of the public sector is to provide essential services such as health, education and security for the welfare of all citizens, even when no profit is made.

Source of capital

Private sector capital comes from the personal savings of the owners, loans from banks, and the sale of shares to investors. Public sector capital comes mainly from taxes paid by citizens and businesses, loans from local and foreign agencies, and grants from foreign governments.

1(c) Free market vs planned economy

Outline TWO ways in which a free market economy differs from a planned or command economy. (4 marks)

Ownership of resources

In a free market economy, the resources of the country such as land, factories and machines are owned by private individuals and businesses. In a planned or command economy, almost all resources are owned and controlled by the government on behalf of the people.

How decisions about production are made

In a free market economy, decisions about what to produce, how to produce and for whom are made by private producers and consumers through the price system. In a planned economy, these decisions are made mainly by central government planners who decide what will be produced and how it will be shared among the people.

Question 2

2(a) Functions of departments

State TWO functions of EACH of the following departments of a business: (i) Marketing; (ii) Finance. (8 marks)

(a)(i) Marketing

Researching the market and the customers

The marketing department finds out who the customers are, what they want and how much they are willing to pay. This information is used to design products and prices that will sell well.

Promoting and selling the product

The marketing department plans advertising, sales promotion and personal selling so that customers come to know about the product and are persuaded to buy it. This helps the business to increase its sales and profits.

(a)(ii) Finance

Recording all money coming in and going out

The finance department keeps proper books of account showing every sale, purchase and expense of the business. These records are used to prepare the final accounts and to calculate the profit or loss for the period.

Preparing budgets and arranging finance

The finance department prepares budgets that show how much money the business expects to earn and spend in the future. It also arranges loans, manages cash flow and pays workers and suppliers on time so that the business can continue to operate.

2(b) Reasons individuals start their own business

State TWO reasons why individuals may decide to start their own business. (2 marks)

- To be their own boss and have the freedom to make their own decisions instead of working for someone else.
- To earn a higher income by keeping the profits of the business rather than receiving only a fixed wage or salary.

2(c) Long-term vs short-term planning

Explain TWO differences between long-term planning and short-term planning. (4 marks)

Length of time covered

Long-term planning covers a period of about three to ten years and looks at the wider future of the business, such as opening new branches or entering new markets. Short-term planning covers a much shorter period, usually up to one year, and deals with day-to-day matters such as monthly sales targets.

Level of detail and who prepares it

Long-term plans are prepared by top management and tend to be broad and general because the future is uncertain. Short-term plans are prepared by middle and lower managers and contain detailed targets, such as how many units to produce each week, that are used to guide daily work.

2(d) Advantages of a private limited company

State THREE advantages of a private limited company. (6 marks)

Limited liability for the shareholders

If the company runs into debt, the shareholders can only lose the money they put into the company. Their personal property such as houses and cars cannot be taken to pay the company's debts, which makes investing in the company much safer.

Easier to raise capital

A private limited company can sell shares to up to fifty members and can also borrow from banks more easily than a sole trader or partnership. This means that more money is available to expand the business.

Continuity of existence

A private limited company is a separate legal person from its owners. If a shareholder dies or sells his or

her shares, the company continues to operate as normal, which gives stability to workers, suppliers and customers.

Question 3

3(a) Factors influencing choice of location

Ms. Vanessa operates a bike rental business from her home, but is contemplating opening a rental office on Main Street in the city. Identify FOUR factors that should influence Ms. Vanessa's choice of a business location. (4 marks)

- Closeness to her customers, since a Main Street location would give her many passers-by who may want to rent a bike.
- The cost of the rent, taxes and utilities at the new location compared with what she can afford.
- The availability of parking, security and good roads for her customers to collect and return the bikes safely.
- The amount of competition from other bike rental or transport businesses already operating in the area.

3(b) Advantages of operating a small business

State TWO advantages of operating a small business. (4 marks)

Easy and cheap to set up
A small business needs only a small amount of capital to start and there are very few legal formalities. This means that almost any person with a useful skill and modest savings can start a small business.

Personal contact with customers
Because the owner deals directly with customers, he or she gets to know their likes and dislikes and can adjust the goods or services to suit them. This builds strong customer loyalty and repeat business.

3(c) Disadvantages of business expansion

State TWO disadvantages that may result from business expansion. (4 marks)

Loss of personal control by the owner
As the business grows, the owner can no longer supervise every part of it personally and has to depend on managers and workers. Mistakes and dishonesty among staff may go unnoticed and the quality of the service may fall.

Higher costs and greater risk
Expansion usually means renting bigger premises, buying more equipment and hiring more workers, all of which increase fixed costs. If sales do not grow as expected, the business may struggle to pay these costs and could even run at a loss.

3(d) Forms of technology essential for business

Identify TWO forms of technology that are essential for operating a business. (2 marks)

- Computers with internet access for record-keeping, research and email communication.
- Point-of-sale systems and electronic payment machines for processing sales and receiving card payments.

3(e) Benefits of using technology in business

Describe THREE benefits of using technology in business. (6 marks)

Faster and more accurate work
Computers and modern machines carry out tasks such as preparing invoices and recording sales much faster than people, and with very few mistakes. This means that customers are served more quickly and the business saves money on wasted material and corrections.

Better communication with customers and suppliers
Email, websites and mobile phones allow the business to send messages, take orders and reply to questions in seconds, even across long distances. This improves customer service and helps the business to get supplies on time.

Easier storage and use of information
Computer systems can store huge amounts of records about sales, stock and customers in a small space. Managers can call up this information at any time to make better decisions about pricing, ordering and staffing.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Sources of income

Identify TWO sources of income for EACH of the following: (i) Individuals; (ii) Businesses. (4 marks)

(a)(i) Individuals

- Wages and salaries earned from working for an employer.
- Interest earned from savings in a bank or rent earned from property.

(a)(ii) Businesses

- Sales revenue earned from selling goods and services to customers.
- Interest, rent and dividends earned from investments made by the business.

4(b) Services of commercial banks

Identify FOUR types of services provided by commercial banks. (4 marks)

- Accepting deposits from customers into savings, current and fixed deposit accounts.
- Lending money to customers in the form of loans, overdrafts and mortgages.
- Providing money transfer services such as standing orders, direct debits and online transfers.
- Offering foreign exchange, safe deposit boxes and credit and debit card services.

4(c) Characteristics of a credit union

Outline THREE characteristics of a credit union. (6 marks)

Owned by its members

A credit union is a co-operative financial organisation that is owned and controlled by the members themselves. Each member buys at least one share, and the members elect a committee to run the union on their behalf.

Common bond among members

All members of a credit union must share a common bond, such as working for the same employer, belonging to the same church or living in the same community. This common bond helps to build trust between members and the union.

Not for profit and one member, one vote

A credit union does not exist to make profit for outside owners. Any surplus is paid back to members as dividends or used to lower loan rates. Each member has only one vote at the annual general meeting, no matter how many shares are held.

4(d) Budgeting

(i) Define the term 'budgeting'. (2 marks); (ii) State TWO purposes of budgeting. (4 marks)

(d)(i) Definition of budgeting

Budgeting is the process of preparing a written plan that sets out, in advance, the expected income and expected expenditure of a person, household or business over a period of time, usually a month or a year.

(d)(ii) Purposes of budgeting

To plan the use of money

A budget shows clearly how much money is expected to come in and how it will be spent on different items. This helps the person or business to live within their means and to set aside money for important goals such as savings.

To control spending and avoid waste

Once a budget has been prepared, actual spending can be checked against it. If too much is being spent in one area, the person can cut back, which prevents debt and encourages careful use of money.

Question 5

5(a) Definitions

Define EACH of the following terms: (i) Human resources; (ii) Productivity. (4 marks)

(a)(i) Human resources

Human resources are the people who work in a business or country, together with their skills, knowledge, experience and abilities. They are the workers and managers who use the other resources to produce goods and services.

(a)(ii) Productivity

Productivity is a measure of how much output is produced in relation to the amount of inputs used. It is often calculated as output per worker or output per hour, and it shows how efficiently the resources of the business are being used.

5(b) Levels of production

Describe the following levels of production: (i) Subsistence; (ii) Domestic; (iii) Surplus. (6 marks)

Subsistence

Subsistence production is when a person or family produces only enough goods, such as food and basic items, to satisfy their own personal needs. Nothing is left over to sell, so there is no income from the activity.

Domestic

Domestic production is when goods and services are produced in larger quantities to supply the people of the local community or country. Some output is sold within the country, but the production is not aimed at foreign markets.

Surplus

Surplus production is when a country or business produces more than is needed for local use. The extra output, called surplus, is sold to other countries as exports, which earns foreign exchange and brings in extra income.

5(c) Improving the efficiency of labour

State TWO ways in which the efficiency of labour can be improved. (4 marks)

Training and education

When workers are trained in better methods and given more education, they learn to use machines properly and to make fewer mistakes. This raises the quantity and quality of work that each worker can do in a given time.

Better working conditions and motivation

Providing workers with safe, clean and well-equipped workplaces, fair wages, bonuses and chances for promotion makes them more willing to work hard. Happy and motivated workers produce more output of better quality.

5(d) Factors that impact negatively on productivity

Discuss TWO factors that can impact negatively on the productivity of workers. (6 marks)

Poor working conditions

When workers have to operate in workplaces that are dirty, hot, unsafe or poorly lit, they become tired and unhappy very quickly. They take more breaks, make more mistakes and may even fall ill, which leads to absences from work. As a result, the amount and quality of output produced each day falls and the business loses money on wasted material and slow service.

Low wages and lack of motivation

If wages are low and workers feel that their effort is not being rewarded with bonuses, promotion or recognition, they lose interest in their jobs. Such workers may do only the bare minimum, take long breaks or look for jobs elsewhere. The result is low productivity, high staff turnover and extra cost to the business in hiring and training new staff.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a)(i) Definition of standard of living

Define the term 'standard of living'. (2 marks)

Standard of living is a measure of the quality of life enjoyed by the people of a country. It looks at the amount and quality of goods and services that the average person can afford, as well as access to things such as good health, education, housing and a clean environment.

6(a)(ii) Indicators of standard of living

Identify TWO indicators of standard of living. (2 marks)

- Real per capita income, which is the average income per person after adjusting for inflation.
- Access to social services such as the number of doctors per thousand people, school enrolment rates and life expectancy at birth.

6(b) Economic growth vs economic development

Distinguish between 'economic growth' and 'economc development', giving TWO examples of EACH. (8 marks)

Economic growth

Economic growth is the increase in the total output of goods and services produced by a country over a period of time, usually shown as a rise in real Gross Domestic Product. It is mainly about producing more, not about how that extra output is shared. Examples of economic growth are an increase in the country's GDP from one year to the next, and an increase in the volume of exports of goods such as bananas or oil.

Economic development

Economic development is a wider idea that includes economic growth but also looks at how the lives of ordinary citizens improve. It includes better health, education, housing, less poverty and a cleaner environment. Examples of economic development are a fall in the rate of poverty and infant mortality, and an increase in the number of citizens with access to clean water, electricity and secondary education.

6(c)(i) Definition of balance of payment

Define the term 'balance of payment'. (2 marks)

The balance of payments is a record of all the money flows between one country and the rest of the world over a period of time, usually one year. It includes payments for imports and exports of goods and services as well as flows of money for investment, loans and gifts.

6(c)(ii) Measures to address balance of payments problem

Discuss TWO measures that a country may adopt to address its balance of payments problem. (6 marks)

Devaluation of the currency

When a country devalues its currency, the value of its money falls in terms of foreign currencies. This makes the country's exports cheaper for foreigners and imports more expensive for citizens, so exports tend to rise and imports tend to fall. As a result, the balance of payments deficit gets smaller because more foreign exchange is earned and less is spent on imports.

Import controls such as tariffs and quotas

The government can place a tax (tariff) on imported goods or set a quota that limits the quantity of certain goods that may be brought in. This makes imports more expensive or harder to find, so citizens buy fewer imports and more locally made goods. The drop in import spending helps to improve the balance of payments.

Question 7

7(a) Definition of foreign direct investment

Define the term 'foreign direct investment' (FDI). (2 marks)

Foreign direct investment, or FDI, is the investment of money by individuals, companies or governments from one country into business operations in another country. The investor usually buys factories, hotels or land, or sets up a branch of a company, in order to earn profit and have direct control over the operations.

7(b) Factors that discourage FDI

Outline THREE factors that could discourage FDI from coming to the Caribbean. (6 marks)

Political instability and crime

When a country has frequent changes of government, riots or a high level of crime, foreign investors fear that their property may be damaged or seized. This makes them choose to invest in safer countries instead.

High taxes and unfriendly business laws

If company taxes are very high and the laws make it hard to bring in equipment, repatriate profits or hire foreign managers, foreign companies feel that they will not earn a fair return. They will then put their money in countries with simpler and friendlier rules.

Poor infrastructure and small market size

Bad roads, an unreliable electricity supply, slow ports and poor internet make it expensive to do business

in the Caribbean. The small population also means that local sales may be too low to cover the cost of a big factory, so investors look elsewhere.

7(c) Ways to attract FDI

State THREE ways in which FDI may be attracted to the Caribbean. (6 marks)

Offering tax holidays and other incentives

Caribbean governments can give foreign companies several years free of company tax, as well as duty-free entry of equipment and raw materials. This lowers the cost of doing business and makes the country more attractive than its rivals.

Improving infrastructure

Building good roads, modern ports, reliable electricity, water supply and internet networks makes it cheaper and easier for foreign firms to set up and operate. Investors are then more willing to bring in their money.

Maintaining political stability and a skilled workforce

When the country has peaceful elections, low crime and a workforce that is well educated and trained, foreign investors feel that their money is safe and that they can find suitable workers. This greatly increases the flow of FDI into the region.

7(d) Benefits of foreign investment

Discuss TWO ways in which Caribbean countries benefit from foreign investments. (6 marks)

Creation of jobs and transfer of technology

Foreign companies that set up hotels, factories or call centres in the Caribbean employ many local workers, which reduces unemployment and raises household incomes. The local workers also learn to use modern equipment and management methods, which improves the skills of the workforce and can be used in other businesses.

Increase in foreign exchange and government revenue

Foreign investors bring in foreign currency such as US dollars, which is used to pay for imports and to repay foreign loans. The new businesses also pay company tax, import duties and licence fees to the government, giving it more money to spend on schools, hospitals and roads, all of which support economic development.